

**Interim Financial Statement - 1st Quarter**  
*(For the three months ended 30th June 2021)*

## Income Statement

| For the three months ended 30th June                     | Group              |                  | Company          |                  |
|----------------------------------------------------------|--------------------|------------------|------------------|------------------|
|                                                          | 2021<br>Rs.' 000   | 2020<br>Rs.' 000 | 2021<br>Rs.' 000 | 2020<br>Rs.' 000 |
| <b>Revenue</b>                                           | <b>2,942,117</b>   | 160,687          | <b>82,736</b>    | 438              |
| Revenue taxes                                            | <b>(89,536)</b>    | (203)            | -                | -                |
| <b>Net revenue</b>                                       | <b>2,852,581</b>   | 160,484          | <b>82,736</b>    | 438              |
| Other operating expenses                                 | <b>(25,625)</b>    | (20,007)         | <b>(3,240)</b>   | (11,099)         |
| Staff costs                                              | <b>(926,619)</b>   | (701,575)        | <b>(33,099)</b>  | (30,892)         |
| Depreciation                                             | <b>(631,981)</b>   | (641,950)        | <b>(14,386)</b>  | (15,801)         |
| Amortisation and impairment                              | <b>(210,991)</b>   | (202,233)        | <b>(436)</b>     | (497)            |
| Other operating expenses - direct                        | <b>(898,670)</b>   | (21,192)         | <b>(13,448)</b>  | -                |
| Other operating expenses - indirect                      | <b>(1,210,061)</b> | (567,556)        | <b>(52,872)</b>  | (39,451)         |
| <b>Loss from operations</b>                              | <b>(1,051,366)</b> | (1,994,029)      | <b>(34,745)</b>  | (97,302)         |
| Finance income                                           | <b>33,930</b>      | 41,892           | <b>12,891</b>    | 19,094           |
| Finance expense                                          | <b>(544,924)</b>   | (571,455)        | <b>(16,439)</b>  | (25,511)         |
| Net finance expense                                      | <b>(510,994)</b>   | (529,563)        | <b>(3,548)</b>   | (6,417)          |
| Share of loss of equity accounted investees (net of tax) | <b>(88,395)</b>    | (138,421)        | -                | -                |
| <b>Loss before tax</b>                                   | <b>(1,650,755)</b> | (2,662,013)      | <b>(38,293)</b>  | (103,719)        |
| Income tax (expense)/refund                              | <b>(49,124)</b>    | 60,841           | <b>(236)</b>     | 62               |
| <b>Loss for the period</b>                               | <b>(1,699,879)</b> | (2,601,172)      | <b>(38,529)</b>  | (103,657)        |
| <b>Attributable to:</b>                                  |                    |                  |                  |                  |
| Equity holders of the parent company                     | <b>(1,110,790)</b> | (1,714,050)      | <b>(38,529)</b>  | (103,657)        |
| Non -controlling interests                               | <b>(589,089)</b>   | (887,122)        | -                | -                |
|                                                          | <b>(1,699,879)</b> | (2,601,172)      | <b>(38,529)</b>  | (103,657)        |
| Loss per share for the period - Rs.<br>(Basic / Diluted) | <b>(3.30)</b>      | (5.11)           | <b>(0.11)</b>    | (0.35)           |

The above figures are provisional and subject to audit.

## Statement of Profit or Loss and other Comprehensive Income

|                                                                   | Group            |                  | Company          |                  |
|-------------------------------------------------------------------|------------------|------------------|------------------|------------------|
| For the three months ended 30th June                              | 2021<br>Rs.' 000 | 2020<br>Rs.' 000 | 2021<br>Rs.' 000 | 2020<br>Rs.' 000 |
| Loss for the period                                               | (1,699,879)      | (2,601,172)      | (38,529)         | (103,657)        |
| <b>Other comprehensive income/(expense)</b>                       |                  |                  |                  |                  |
| <b>Items that will never be reclassified to profit or loss</b>    |                  |                  |                  |                  |
| Share of other comprehensive income of equity accounted investees | 5,330            | -                | -                | -                |
|                                                                   | 5,330            | -                | -                | -                |
| <b>Items that are or may be reclassified to profit or loss</b>    |                  |                  |                  |                  |
| Foreign currency translation differences of foreign operations    | (33,742)         | (221,954)        | -                | -                |
| Net movement on cash flow hedges                                  | (99,807)         | (4,932)          | -                | -                |
|                                                                   | (133,549)        | (226,886)        | -                | -                |
| <b>Other comprehensive expense for the period (net of tax)</b>    | (128,219)        | (226,886)        | -                | -                |
| <b>Total comprehensive expense for the period (net of tax)</b>    | (1,828,098)      | (2,828,058)      | (38,529)         | (103,657)        |
| <b>Attributable to:</b>                                           |                  |                  |                  |                  |
| Equity holders of the parent company                              | (1,184,759)      | (1,850,454)      | (38,529)         | (103,657)        |
| Non -controlling interests                                        | (643,339)        | (977,604)        | -                | -                |
| <b>Total comprehensive expense for the period (net of tax)</b>    | (1,828,098)      | (2,828,058)      | (38,529)         | (103,657)        |

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## Consolidated Statement of Financial Position

| As at                                                                    | 30.06.2021<br>Rs.' 000 | 30.06.2020<br>Rs.' 000 | 31.03.2021<br>Rs.' 000 |
|--------------------------------------------------------------------------|------------------------|------------------------|------------------------|
| <b>ASSETS</b>                                                            |                        |                        |                        |
| <b>Non - current assets</b>                                              |                        |                        |                        |
| Property, plant and equipment                                            | 52,165,790             | 51,560,963             | 52,766,644             |
| Right-of-use-assets                                                      | 11,781,973             | 10,760,912             | 11,964,320             |
| Intangible assets                                                        | 575,228                | 561,874                | 581,137                |
| Investment in equity accounted investees                                 | 577,689                | 772,057                | 631,527                |
| Other financial assets                                                   | 772,741                | 848,941                | 772,508                |
| Deferred tax assets                                                      | 718,955                | 340,221                | 717,802                |
|                                                                          | <b>66,592,376</b>      | 64,844,968             | 67,433,938             |
| <b>Current assets</b>                                                    |                        |                        |                        |
| Inventories                                                              | 918,676                | 779,269                | 817,377                |
| Trade and other receivables                                              | 781,544                | 1,270,014              | 893,820                |
| Amount due from holding company                                          | 334,552                | 640,994                | 476,904                |
| Amount due from parent's group entities                                  | 172,425                | 230,965                | 231,334                |
| Deposits and prepayments                                                 | 536,042                | 589,529                | 368,513                |
| Current tax receivable                                                   | 43,207                 | 33,467                 | 47,135                 |
| Other financial assets                                                   | 996,021                | 9,502                  | 714,562                |
| Cash and cash equivalents                                                | 1,487,903              | 1,908,192              | 2,105,560              |
|                                                                          | <b>5,270,370</b>       | 5,461,932              | 5,655,205              |
| Assets classified as held for sale                                       | 1,080,606              | 1,005,275              | 1,079,094              |
| <b>Total Assets</b>                                                      | <b>72,943,352</b>      | 71,312,175             | 74,168,237             |
| <b>EQUITY AND LIABILITIES</b>                                            |                        |                        |                        |
| <b>Equity</b>                                                            |                        |                        |                        |
| Stated capital                                                           | 3,554,587              | 3,554,587              | 3,554,587              |
| Reserves                                                                 | 5,480,262              | 5,283,015              | 5,554,233              |
| Retained earnings                                                        | 5,766,165              | 9,859,994              | 6,847,636              |
| <b>Total equity attributable to equity holders of the parent company</b> | <b>14,801,014</b>      | 18,697,596             | 15,956,456             |
| Non-controlling interests                                                | 5,362,925              | 7,609,926              | 6,006,264              |
| <b>Total Equity</b>                                                      | <b>20,163,939</b>      | 26,307,522             | 21,962,720             |
| <b>Non - current liabilities</b>                                         |                        |                        |                        |
| Interest - bearing liabilities - banks                                   | 27,286,249             | 26,316,354             | 28,147,885             |
| Interest - bearing liabilities - leases                                  | 9,810,666              | 8,870,812              | 9,990,825              |
| Deferred tax liabilities                                                 | 1,052,466              | 973,087                | 1,019,424              |
| Employee benefits                                                        | 252,220                | 220,186                | 248,550                |
|                                                                          | <b>38,401,601</b>      | 36,380,439             | 39,406,684             |
| <b>Current liabilities</b>                                               |                        |                        |                        |
| Trade payables                                                           | 745,292                | 831,706                | 913,389                |
| Other provisions and payables                                            | 3,042,687              | 2,590,554              | 3,295,873              |
| Amount due to holding company                                            | 177,252                | 144,659                | 168,765                |
| Amount due to parent's group entities                                    | 73,711                 | 89,761                 | 75,307                 |
| Interest - bearing liabilities - banks                                   | 3,844,669              | 1,232,310              | 2,568,340              |
| Interest - bearing liabilities - leases                                  | 993,454                | 427,442                | 1,042,409              |
| Current tax payable                                                      | 6,243                  | 60,285                 | 2,097                  |
| Bank overdrafts and other short term borrowings                          | 5,494,504              | 3,247,497              | 4,732,653              |
|                                                                          | <b>14,377,812</b>      | 8,624,214              | 12,798,833             |
| <b>Total Liabilities</b>                                                 | <b>52,779,413</b>      | 45,004,653             | 52,205,517             |
| <b>Total Equity and Liabilities</b>                                      | <b>72,943,352</b>      | 71,312,175             | 74,168,237             |
| Net Asset value per share (Rs.)                                          | <b>43-52</b>           | 55.11                  | 46.96                  |

The above figures are provisional and subject to audit.

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.

sgd.  
**Deshamanya D.H.S Jayawardena**  
Chairman

sgd.  
**Dr. M.P Dissanayake**  
Managing Director

sgd.  
**Ms. H.F.S Kulatunga**  
General Manager - Finance

Colombo  
12th August 2021

## Company Statement of Financial Position

| As at                                           | 30.06.2021<br>Rs.' 000 | 30.06.2020<br>Rs.' 000 | 31.03.2021<br>Rs.' 000 |
|-------------------------------------------------|------------------------|------------------------|------------------------|
| <b>ASSETS</b>                                   |                        |                        |                        |
| <b>Non - current assets</b>                     |                        |                        |                        |
| Property, plant and equipment                   | 1,569,195              | 1,610,598              | 1,583,243              |
| Intangible assets                               | 971                    | 2,774                  | 1,406                  |
| Investments in subsidiaries                     | 8,006,841              | 8,006,840              | 8,006,841              |
| Investment in equity accounted investees        | 1,267,862              | 1,222,873              | 1,267,862              |
| Other financial assets                          | 606,058                | 693,878                | 606,058                |
|                                                 | <b>11,450,927</b>      | 11,536,963             | 11,465,410             |
| <b>Current assets</b>                           |                        |                        |                        |
| Inventories                                     | 15,959                 | 17,571                 | 15,122                 |
| Trade and other receivables                     | 170,083                | 134,349                | 82,396                 |
| Amount due from holding company                 | 67,753                 | 7,367                  | 82,929                 |
| Amount due from parent's group entities         | 59,666                 | 40,373                 | 47,386                 |
| Deposits and prepayments                        | 106,202                | 17,971                 | 4,128                  |
| Current tax receivable                          | 11,532                 | 17,372                 | 12,134                 |
| Other financial assets                          | 149,811                | 9,502                  | 139,794                |
| Cash and cash equivalents                       | 523,014                | 488,924                | 474,920                |
|                                                 | <b>1,104,020</b>       | 733,429                | 858,809                |
| <b>Total Assets</b>                             | <b>12,554,947</b>      | 12,270,392             | 12,324,219             |
| <b>EQUITY AND LIABILITIES</b>                   |                        |                        |                        |
| <b>Equity</b>                                   |                        |                        |                        |
| Stated capital                                  | 3,554,587              | 3,554,587              | 3,554,587              |
| Reserves                                        | 705,961                | 705,961                | 705,961                |
| Retained earnings                               | 6,299,574              | 6,499,740              | 6,338,103              |
| <b>Total Equity</b>                             | <b>10,560,122</b>      | 10,760,288             | 10,598,651             |
| <b>Non - current liabilities</b>                |                        |                        |                        |
| Interest - bearing liabilities - banks          | 423,512                | 494,361                | 558,554                |
| Deferred tax liabilities                        | 37,060                 | 41,371                 | 37,426                 |
| Employee benefits                               | 41,186                 | 36,686                 | 43,437                 |
|                                                 | <b>501,758</b>         | 572,418                | 639,417                |
| <b>Current liabilities</b>                      |                        |                        |                        |
| Trade creditors                                 | 7,660                  | 17,700                 | 16,134                 |
| Other provisions and payables                   | 183,818                | 105,259                | 55,863                 |
| Amount due to holding company                   | 176,612                | 33,085                 | 134,856                |
| Amount due to parent's group entities           | 564,616                | 511,613                | 533,707                |
| Interest - bearing liabilities - banks          | 379,414                | 247,865                | 238,410                |
| Bank overdrafts and other short term borrowings | 180,947                | 22,164                 | 107,181                |
|                                                 | <b>1,493,067</b>       | 937,686                | 1,086,151              |
| <b>Total Liabilities</b>                        | <b>1,994,825</b>       | 1,510,104              | 1,725,568              |
| <b>Total Equity and Liabilities</b>             | <b>12,554,947</b>      | 12,270,392             | 12,324,219             |
| Net Asset value per share (Rs.)                 | <b>30.91</b>           | 31.51                  | 31.03                  |

The above figures are provisional and subject to audit.

The Chief Financial Officer certifies that the financial statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.

sgd.  
**Deshamanya D.H.S Jayawardena**  
Chairman

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**Dr. M.P Dissanayake**  
Managing Director

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**Ms. H.F.S Kulatunga**  
General Manager - Finance

Colombo  
12th August 2021

## Consolidated Statement of Changes in Equity

For the three months ended 30th June

|                                                                                             | Attributable to Equity Holders of the parent |                 |                                      |                    |                        |                     |                    | Total              | Non Controlling Interest | Total Equity       |
|---------------------------------------------------------------------------------------------|----------------------------------------------|-----------------|--------------------------------------|--------------------|------------------------|---------------------|--------------------|--------------------|--------------------------|--------------------|
|                                                                                             | Stated Capital                               | General Reserve | Foreign Currency Translation Reserve | Fair Value Reserve | Cashflow hedge Reserve | Revaluation Reserve | Retained Earnings  |                    |                          |                    |
|                                                                                             | Rs '000                                      | Rs '000         | Rs '000                              | Rs '000            | Rs '000                | Rs '000             | Rs '000            | Rs '000            | Rs '000                  | Rs '000            |
| <b>Balance as at 01 st April 2020</b>                                                       | <b>3,554,587</b>                             | <b>22,929</b>   | <b>3,645,259</b>                     | <b>(14,878)</b>    | <b>(801,633)</b>       | <b>2,567,742</b>    | <b>11,588,894</b>  | <b>20,562,900</b>  | <b>8,587,530</b>         | <b>29,150,430</b>  |
| Loss for the period                                                                         | –                                            | –               | –                                    | –                  | –                      | –                   | (1,714,050)        | (1,714,050)        | (887,122)                | (2,601,172)        |
| Other comprehensive expense for the period                                                  | –                                            | –               | (133,445)                            | –                  | (2,959)                | –                   | –                  | (136,404)          | (90,482)                 | (226,886)          |
| <b>Total comprehensive expense for the period</b>                                           | <b>–</b>                                     | <b>–</b>        | <b>(133,445)</b>                     | <b>–</b>           | <b>(2,959)</b>         | <b>–</b>            | <b>(1,714,050)</b> | <b>(1,850,454)</b> | <b>(977,604)</b>         | <b>(2,828,058)</b> |
| Preference Dividends - 2019/20                                                              | –                                            | –               | –                                    | –                  | –                      | –                   | (14,850)           | (14,850)           | –                        | (14,850)           |
| <b>Balance as at 30 th June 2020</b>                                                        | <b>3,554,587</b>                             | <b>22,929</b>   | <b>3,511,814</b>                     | <b>(14,878)</b>    | <b>(804,592)</b>       | <b>2,567,742</b>    | <b>9,859,994</b>   | <b>18,697,596</b>  | <b>7,609,926</b>         | <b>26,307,522</b>  |
| <b>Balance as at 01 st April 2021</b>                                                       | <b>3,554,587</b>                             | <b>22,929</b>   | <b>4,153,091</b>                     | <b>11,245</b>      | <b>(1,229,211)</b>     | <b>2,596,179</b>    | <b>6,847,636</b>   | <b>15,956,456</b>  | <b>6,006,264</b>         | <b>21,962,720</b>  |
| Loss for the period                                                                         | –                                            | –               | –                                    | –                  | –                      | –                   | (1,110,790)        | (1,110,790)        | (589,089)                | (1,699,879)        |
| Other comprehensive income/(expense) for the period                                         | –                                            | –               | (19,415)                             | –                  | (59,884)               | 5,328               | 2                  | (73,969)           | (54,250)                 | (128,219)          |
| <b>Total comprehensive income/(expense) for the period</b>                                  | <b>–</b>                                     | <b>–</b>        | <b>(19,415)</b>                      | <b>–</b>           | <b>(59,884)</b>        | <b>5,328</b>        | <b>(1,110,788)</b> | <b>(1,184,759)</b> | <b>(643,339)</b>         | <b>(1,828,098)</b> |
| Effect of change in percentage holding of share of net assets of equity-accounted investees | –                                            | –               | –                                    | –                  | –                      | –                   | 29,317             | 29,317             | –                        | 29,317             |
| <b>Balance as at 30 th June 2021</b>                                                        | <b>3,554,587</b>                             | <b>22,929</b>   | <b>4,133,676</b>                     | <b>11,245</b>      | <b>(1,289,095)</b>     | <b>2,601,507</b>    | <b>5,766,165</b>   | <b>14,801,014</b>  | <b>5,362,925</b>         | <b>20,163,939</b>  |

The above figures are provisional and subject to audit.

## Company Statement of Changes in Equity

For the three months ended 30th June

|                                                     | Stated<br>Capital | General<br>Reserve | Revaluation<br>Reserve | Retained<br>Earnings | Total Equity      |
|-----------------------------------------------------|-------------------|--------------------|------------------------|----------------------|-------------------|
|                                                     | Rs '000           | Rs '000            | Rs '000                | Rs '000              | Rs '000           |
| <b>Balance as at 01 st April 2020</b>               | <b>3,554,587</b>  | <b>22,929</b>      | <b>683,032</b>         | <b>6,618,247</b>     | <b>10,878,795</b> |
| Loss for the period                                 | –                 | –                  | –                      | (103,657)            | (103,657)         |
| Other comprehensive income/(expense) for the period | –                 | –                  | –                      | –                    | –                 |
| <b>Total comprehensive expense for the period</b>   | <b>–</b>          | <b>–</b>           | <b>–</b>               | <b>(103,657)</b>     | <b>(103,657)</b>  |
| Preference Dividends - 2019/20                      | –                 | –                  | –                      | (14,850)             | (14,850)          |
| <b>Balance as at 30 th June 2020</b>                | <b>3,554,587</b>  | <b>22,929</b>      | <b>683,032</b>         | <b>6,499,740</b>     | <b>10,760,288</b> |
| <b>Balance as at 01 st April 2021</b>               | <b>3,554,587</b>  | <b>22,929</b>      | <b>683,032</b>         | <b>6,338,103</b>     | <b>10,598,651</b> |
| Loss for the period                                 | –                 | –                  | –                      | (38,529)             | (38,529)          |
| Other comprehensive income/(expense) for the period | –                 | –                  | –                      | –                    | –                 |
| <b>Total comprehensive expense for the period</b>   | <b>–</b>          | <b>–</b>           | <b>–</b>               | <b>(38,529)</b>      | <b>(38,529)</b>   |
| <b>Balance as at 30 th June 2021</b>                | <b>3,554,587</b>  | <b>22,929</b>      | <b>683,032</b>         | <b>6,299,574</b>     | <b>10,560,122</b> |

The above figures are provisional and subject to audit.

## Statement of Cash Flows

|                                                                      | Group            |                    | Company         |                 |
|----------------------------------------------------------------------|------------------|--------------------|-----------------|-----------------|
|                                                                      | 2021             | 2020               | 2021            | 2020            |
|                                                                      | Rs.' 000         | Rs.' 000           | Rs.' 000        | Rs.' 000        |
| <b>Cash flow from operating activities</b>                           |                  |                    |                 |                 |
| Loss before taxation                                                 | (1,650,755)      | (2,662,013)        | (38,293)        | (103,719)       |
| <b>Adjustments for</b>                                               |                  |                    |                 |                 |
| Depreciation                                                         | 631,981          | 641,950            | 14,386          | 15,801          |
| Amortisation of ROU assets and intangible assets                     | 210,991          | 202,233            | 436             | 497             |
| Provision for impairment/(reversal of impairment) of trade debtors   | (13,521)         | 54,305             | 5,148           | 3,391           |
| Provision of impairment/(reversal of impairment) of financial assets | 48               | (114)              | 48              | (114)           |
| Interest expense                                                     | 544,924          | 571,455            | 16,439          | 25,511          |
| Interest income                                                      | (33,930)         | (41,892)           | (12,891)        | (19,094)        |
| (Profit)/Loss on sale of property, plant and equipment               | 218              | (218)              | -               | (218)           |
| Provision for retirement benefit obligations                         | 14,769           | 13,784             | 2,105           | 2,512           |
| Share of loss of equity accounted investees (net of tax)             | 88,395           | 138,421            | -               | -               |
| Effect of movement in exchange rates                                 | 31,538           | 22,391             | 3,253           | 10,772          |
| <b>Operating loss before working capital changes</b>                 | <b>(175,342)</b> | <b>(1,059,698)</b> | <b>(9,369)</b>  | <b>(64,661)</b> |
| (Increase) / Decrease in inventories                                 | (101,299)        | 154,271            | (837)           | 2,053           |
| (Increase) / Decrease in trade and other receivables                 | 125,913          | 357,030            | (92,836)        | (871)           |
| (Increase) / Decrease in amount due from holding company             | 142,352          | 99,238             | 15,176          | 24,781          |
| (Increase) / Decrease in amount due from parent's group entities     | 58,909           | 236,121            | (12,280)        | 71,633          |
| (Increase) / Decrease in deposits and prepayments                    | (167,529)        | (755)              | (102,074)       | (9,905)         |
| Increase / (Decrease) in trade creditors                             | (168,097)        | (108,876)          | (8,474)         | (297)           |
| Increase / (Decrease) in provisions and other payables               | (253,186)        | (720,215)          | 127,955         | (15,230)        |
| Increase / (Decrease) in amount due to holding company               | 8,487            | 10,366             | 41,756          | (9,751)         |
| Increase / (Decrease) in Amount due to parent's group entities       | (1,596)          | 15,752             | 30,909          | 10,329          |
| <b>Cash generated from/(used in) operations</b>                      | <b>(531,388)</b> | <b>(1,016,766)</b> | <b>(10,074)</b> | <b>8,081</b>    |
| Interest expense paid                                                | (101,179)        | (114,409)          | (10,477)        | (27,695)        |
| Retirement benefit obligations paid                                  | (10,995)         | (1,855)            | (4,356)         | (371)           |
| Income taxes paid                                                    | -                | (22,242)           | -               | -               |
| <b>Net cash flow used in operating activities</b>                    | <b>(643,562)</b> | <b>(1,155,272)</b> | <b>(24,907)</b> | <b>(19,985)</b> |
| (Carried forward to next page)                                       |                  |                    |                 |                 |

## Statement of Cash Flows

|                                                                         | Group              |             | Company          |          |
|-------------------------------------------------------------------------|--------------------|-------------|------------------|----------|
| <i>For the three months ended 30th June</i>                             | <b>2021</b>        | 2020        | <b>2021</b>      | 2020     |
|                                                                         | <b>Rs.' 000</b>    | Rs.' 000    | <b>Rs.' 000</b>  | Rs.' 000 |
| <b>Net cash flow used in operating activities</b>                       | <b>(643,562)</b>   | (1,155,272) | <b>(24,907)</b>  | (19,985) |
| (brought forward from previous page)                                    |                    |             |                  |          |
| <b>Cash flow from investing activities</b>                              |                    |             |                  |          |
| Proceeds from/(investment in) debt securities                           | <b>(271,442)</b>   | 2,227       | -                | 2,227    |
| Acquisition of property, plant and equipment                            | <b>(51,127)</b>    | (236,279)   | <b>(338)</b>     | (2,387)  |
| Proceeds from sale of property, plant and equipment                     | -                  | 4,069       | -                | 428      |
| Purchase of term deposits                                               | -                  | 46,142      | -                | -        |
| Interest received                                                       | <b>23,865</b>      | 41,892      | <b>2,826</b>     | 19,094   |
| <b>Net cash flow generated from/(used in) investing activities</b>      | <b>(298,704)</b>   | (141,949)   | <b>2,488</b>     | 19,362   |
| <b>Cash flow from financing activities</b>                              |                    |             |                  |          |
| Repayment of interest bearing liabilities - banks                       | <b>(38,253)</b>    | (46,291)    | -                | -        |
| Repayment of interest bearing liabilities - leases                      | <b>(406,210)</b>   | -           | -                | -        |
| Dividends paid                                                          | -                  | (14,850)    | -                | -        |
| <b>Net cash flow used in financing activities</b>                       | <b>(444,463)</b>   | (61,141)    | -                | -        |
| <b>Net decrease in cash and cash equivalents</b>                        | <b>(1,386,729)</b> | (1,358,362) | <b>(22,419)</b>  | (623)    |
| <b>Cash and cash equivalents at the beginning of the period</b>         | <b>(2,627,093)</b> | (19,617)    | <b>367,739</b>   | 478,155  |
| <b>Effect of movement in exchange rates</b>                             | <b>7,221</b>       | 38,674      | <b>(3,253)</b>   | (10,772) |
| <b>Cash and cash equivalents at the end of the period</b>               | <b>(4,006,601)</b> | (1,339,305) | <b>342,067</b>   | 466,760  |
| <b>Analysis of cash &amp; cash equivalents at the end of the period</b> |                    |             |                  |          |
| Cash at bank and in hand and short term deposits                        | <b>1,487,903</b>   | 1,908,192   | <b>523,014</b>   | 488,924  |
| Bank overdrafts and other short term borrowings                         | <b>(5,494,504)</b> | (3,247,497) | <b>(180,947)</b> | (22,164) |
|                                                                         | <b>(4,006,601)</b> | (1,339,305) | <b>342,067</b>   | 466,760  |

The above figures are provisional and subject to audit.

# Notes to Interim Financial Statements

## 1 Segmental Results

### 1.1 Revenue

|                                             | External  | Intra Group | Group<br>Total<br>2021<br>Rs.' 000 | Total<br>2020<br>Rs.' 000 |
|---------------------------------------------|-----------|-------------|------------------------------------|---------------------------|
| <i>For the three months ended 30th June</i> |           |             |                                    |                           |
| <b>Sri Lankan Sector</b>                    |           |             |                                    |                           |
| Resorts and Hotels                          | 228,717   | 1,501       | 230,218                            | (251)                     |
| Others                                      | 1,173     | 63,677      | 64,850                             | 147                       |
| <b>Total Sri Lankan Sector</b>              | 229,890   | 65,178      | 295,068                            | (104)                     |
| <b>South Asian and Middle East Sector</b>   | 2,712,227 | 8,928       | 2,721,155                          | 164,462                   |
|                                             | 2,942,117 | 74,106      | 3,016,223                          | 164,358                   |
| Intra Group                                 |           |             | (74,106)                           | (3,671)                   |
| <b>Total</b>                                |           |             | 2,942,117                          | 160,687                   |

### 1.2 Profit/(Loss) before taxation

|                                             | Group<br>2021<br>Rs.' 000 | 2020<br>Rs.' 000 |
|---------------------------------------------|---------------------------|------------------|
| <i>For the three months ended 30th June</i> |                           |                  |
| <b>Sri Lankan Sector</b>                    |                           |                  |
| Resorts and Hotels                          | (383,928)                 | (588,237)        |
| Others                                      | (15,518)                  | (76,106)         |
|                                             | (399,446)                 | (664,343)        |
| Share of loss of equity accounted investees | (88,395)                  | (138,421)        |
| <b>Total Sri Lankan Sector</b>              | (487,841)                 | (802,764)        |
| <b>South Asian and Middle East Sector</b>   | (1,162,914)               | (1,859,249)      |
| <b>Total</b>                                | (1,650,755)               | (2,662,013)      |

### 1.3 Total Assets

|                                           | Group<br>30.06.2021<br>Rs.' 000 | 30.06.2020<br>Rs.' 000 |
|-------------------------------------------|---------------------------------|------------------------|
| <i>As at</i>                              |                                 |                        |
| <b>Sri Lankan Sector</b>                  |                                 |                        |
| Resorts and Hotels                        | 18,716,420                      | 20,209,993             |
| Others                                    | 1,129,319                       | 282,868                |
|                                           | 19,845,739                      | 20,492,861             |
| Share of equity accounted investees       | 577,689                         | 772,057                |
| <b>Total Sri Lankan Sector</b>            | 20,423,428                      | 21,264,918             |
| <b>South Asian and Middle East Sector</b> | 52,519,924                      | 50,047,257             |
| <b>Total</b>                              | 72,943,352                      | 71,312,175             |

## Notes to the Interim Financial Statements

### 2 Basis of preparation

The financial statements of the Company and those consolidated with such for the interim period have been prepared on the same accounting policies and methods of computations as in the most recent audited financial statements and are in compliance with LKAS 34-Interim Financial Reporting.

The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year. The presentation and classification of the financial statements of the previous periods have been amended where relevant to be comparable with those of the current year.

### 3 Fair value measurement and related fair value disclosures

As at reporting date there were no significant differences in the comparison made between fair value and carrying value of financial assets and liabilities, from what was disclosed in the annual report for the year ending 31st March 2021. There were neither transfers between different levels of fair value hierarchy nor changes to assets classes classified under recurring and non-recurring basis. Valuation techniques or significant unobservable inputs used for measuring level 2 and level 3 fair values remains unchanged from reporting date as at 31st March 2021.

During the period under review there were no transfers in and out of level 3 financial instrument measurement and any change in fair values are captured in the statement of other comprehensive income.

Unquoted equity shares that are subjected to level 3 of fair value measurement hierarchy, were revalued as at the reporting date. Fair value would not significantly vary if one or more unobservable inputs used for valuation were changed.

### 4 Events after the reporting period

There were no material events subsequent to the end of the year which require disclosures in the interim financial statements .

### 5 Seasonality of operations

Two months of the period under review relates to the off season of the tourism industry both in Sri Lanka and Overseas, the Group operates.

### 6 Contingencies, capital and other commitments

There were no material change in contingent liability which were disclosed in the Annual Report for the year ended 31st March 2021.

### 7 Assets classified as held for sale

The carrying value of the leasehold rights of Raafushi Island was classified under “Assets held for sale” consequent to the decision made by Ace Resorts (Pvt) Ltd., to dispose its lease.

### 8 There was no liability to management fees or any other similar expenditure not provided for in the interim financial statements.

## Investor Information

### 1 Share Information

|                           | <b>30.06.2021</b> | 30.06.2020 |
|---------------------------|-------------------|------------|
| Market Price per Share    |                   |            |
| - Highest (Rs.)           | <b>32.40</b>      | 21.00      |
| - Lowest (Rs.)            | <b>27.00</b>      | 12.00      |
| - Last Traded Price (Rs.) | <b>28.80</b>      | 19.00      |
| - Closing Price (Rs.)     | <b>28.80</b>      | 18.80      |

Number of shares represented by the stated capital

|              | <b>30.06.2021</b>  | 30.06.2020  |
|--------------|--------------------|-------------|
| - Ordinary   | <b>336,290,010</b> | 336,290,010 |
| - Preference | <b>16,500,000</b>  | 16,500,000  |

**2** Percentage of shares held by the public as at 30th June 2021 was 25.41%. Number of public shareholders as at 30th June 2021 was 3,611.

**3** The float adjusted market capitalisation as at 30th June 2021 was Rs. 2,460,567,571/-. As the float adjusted market capitalisation is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirements.

### 4 Shares held by the Directors are as follows:

| <b>Name of the Director</b>  | <b>Position</b>   | <b>No of Shares</b> | <b>No of Shares</b> |
|------------------------------|-------------------|---------------------|---------------------|
|                              |                   | <b>30.06.2021</b>   | <b>30.06.2020</b>   |
| Deshamanya D.H.S Jayawardena | Chairman          | -                   | -                   |
| Dr. M.P Dissanayake          | Managing Director | -                   | -                   |
| Miss. D.S.T Jayawardena      | Director          | 16,000              | 16,000              |
| Mr. C.M.S Jayawickrama       | Director          | -                   | -                   |
| Mr. J.M.S Brito              | Director          | 300,658             | 331,021             |
| Mr. R.N Asirwatham           | Director          | 1,000               | 1,000               |
| Mr. N.J. de S. Deva Aditya   | Director          | -                   | -                   |
| Mr. C.H Gomez                | Director          | -                   | -                   |
| Mr. G.P.J Goonewardena       | Director          | 5,460               | 5,460               |
|                              |                   | <u>323,118</u>      | <u>353,481</u>      |

## Investor Information

### 5 Twenty Largest Shareholders as at 30th June 2021

| Name of the Share Holder                           | No of Shares       | %             |
|----------------------------------------------------|--------------------|---------------|
| Aitken Spence PLC - A/C No. 1                      | 239,472,667        | 71.21%        |
| Employees Provident Fund                           | 31,501,601         | 9.37%         |
| Sri Lanka Insurance Corporation Ltd. - Life Fund   | 5,518,727          | 1.64%         |
| Ace Cargo (Private) Limited                        | 4,423,601          | 1.32%         |
| Aitken Spence Hotel Managements (Private) Limited  | 3,530,639          | 1.05%         |
| Aitken Spence Aviation (Private) Limited           | 2,604,140          | 0.77%         |
| Bank of Ceylon - No. 1 Account                     | 2,547,424          | 0.76%         |
| Employees Trust Fund Board                         | 2,370,705          | 0.70%         |
| The Ceylon Guardian Investments Trust PLC A/C # 02 | 2,245,982          | 0.67%         |
| J B Cocoshell (Private) Limited                    | 2,164,403          | 0.64%         |
| National Savings Bank                              | 2,102,133          | 0.63%         |
| Mr. G. C. Wickremasinghe                           | 2,082,241          | 0.62%         |
| Mr. K. Balendra                                    | 1,992,622          | 0.59%         |
| Ceylon Investments PLC A/C # 02                    | 1,283,675          | 0.38%         |
| Miss. A.T. Wickramasinghe                          | 1,245,004          | 0.37%         |
| Bank of Ceylon A/C Ceybank Century Growth Fund     | 1,078,973          | 0.32%         |
| Mr. M. J. Fernando                                 | 1,000,000          | 0.30%         |
| Mrs. K. Fernando                                   | 991,149            | 0.29%         |
| Ceylon Investments PLC A/C # 01                    | 985,900            | 0.29%         |
| Rubber Investement Trust Ltd A/C No. 01            | 826,548            | 0.25%         |
|                                                    | <u>309,968,134</u> | <u>92.17%</u> |

## Corporate Information as at 30.06.2021

### Directors

Deshamanaya D.H.S Jayawardena - Chairman  
Dr. M.P. Dissanayake - Managing Director  
Ms. D.S.T. Jayawardena  
Mr. C.M.S Jayawickrama  
Mr. J.M.S Brito  
Mr. R.N Asirwatham  
Mr. C.H Gomez  
Mr. N.J. de Silva Deva Aditya  
Mr. G.P.J. Goonewardena

### Legal Form

A public quoted Company with limited liability  
Incorporated in Sri Lanka on 14th March 1978

### Company registration Number

PQ 97

### Secretaries

Aitken Spence Corporate Finance (Private) Limited  
No. 315, Vauxhall Street,  
Colombo 02,  
Sri Lanka.  
Tel: (+94 11) 2308308  
Fax: (+94 11) 2308099

### Registrars

Central Depository System (Private) Limited  
Ground Floor, M&M Centre,  
No. 341/5, Kotte Road,  
Rajagiriya,  
Sri Lanka.  
Tel: (+94 11) 2356456  
Fax: (+94 11) 2440396

### Registered Address

No 315, Vauxhall Street,  
Colombo 02,  
Sri Lanka.  
Tel: (+94 11) 2308308